

By knowing exactly what is coming in and going out, you get a better idea of what you can do with your money. For example, you may realise you spend a lot of money on things you don't actually enjoy. You may even realise that you're paying for a monthly subscription that you forgot to cancel. By knowing your cash flow, you can then get a better idea of how much you are able to cut out and rearrange, and therefore what you're left with to save and invest.

I find this to be a much better approach to money than trying to work out how much is left at the end of the week and investing that. It's so much more powerful to say that you have a set percentage per month that you put away into your investing portfolio. This gives you a much clearer idea of what you can invest after you account for everything else.

Value-based spending

Another benefit of doing this at the start is it encourages what we call value-based spending. It's like a budget, but rather than focusing on what you can't spend and cutting everything down to the bare bones, you get to allocate money towards the things that are important to you. This could be \$300 towards skincare every year or \$1000 towards travel. I've never been a fan of cutting down spending to the point where you cannot even enjoy the simple pleasures of a \$5 latte.

With value-based spending you get to allocate your money towards the two or three things that are important to you and forget the rest. For you, that might be holiday travel or getting manicures. For someone else it might be splurging on higher quality clothing that makes them feel good. The point is that there is no guilt or shame associated with spending money, and instead you're empowered by spending money in alignment with your goals and values.

This form of cash flow management is also something that you're more likely to stick to in the long term. At the end of the day, it's better to be spending in a way that is aligned with your values instead of trying to stick with a harsh budget and giving up every few days. It's not about trying to deprive yourself of the few sparks of joy you get throughout the week; it's about finding a balance in your spending and saving habits so that both parts of you are fulfilled.